Example 9

Transaction: Goods sold to Mahendran for cash ₹ 5,000
Analysis: This is a cash transaction as cash is involved.

Transaction	Accounts involved	Nature of accounts	How affected in business	Debit / Credit
Cash sales made to Mahendran for ₹ 10,000	Cash A/c	Real A/c	Cash comes in	Debit
	Sales A/c	Nominal A/c	Revenue earned	Credit

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Cash A/c	Dr.		5,000	
	To Sales A/c				5,000
	(Cash sales made)				

Example 10

Transaction: Borrowed loan from Bank ₹ 10,000
Analysis: This is a cash transaction as cash is involved.

Transaction	Accounts involved	Nature of accounts	How affected in business	Debit / Credit
Borrowed loan from Bank ₹10,000	Bank A/c	Personal A/c	Bank is the receiver	Debit
	Bank loan A/c	Personal A/c	Bank is the giver	Credit

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Bank A/c	Dr.		10,000	
	To Bank loan A/c				10,000
	(Borrowed loan from bank)				

Example 11

Transaction: Received commission of ₹ 5,000 by cash
Analysis: This is a cash transaction as cash is involved.

Transaction	Accounts involved	Nature of accounts	How affected in business	Debit / Credit
Received commission ₹ 5,000	Cash A/c	Real A/c	Cash comes in	Debit
	Commission A/c	Nominal A/c	Receipt of commission	Credit

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Cash A/c	Dr.		5,000	
	To Commission received A/c				5,000
	(Commision received)				

Example 12

Transaction: Paid ₹ 4,800 in full settlement of ₹ 5,000 due to the creditor, Keerthana.
Analysis: This is a cash transaction as cash is involved.

Accountancy - Unit-03.indd 47 12/12/2021 6:13:56 PM